

# Hero MotoCorp Ltd (HEROMOTOCO)

Sector: Consumer Discretionary | Financial Intelligence tearsheet | Latest FY24 (2024-03)

## 1. Core Performance Ratios (Latest Year)

| Metric                        | Value  | Benchmark / Status                 |
|-------------------------------|--------|------------------------------------|
| Return on Equity (ROE)        | 21.14% | ROE > 15% is healthy               |
| Return on Capital (ROCE)      | 23.26% | Relative sector-adjusted benchmark |
| Net Profit Margin (NPM)       | 9.90%  | Core net earnings efficiency       |
| Debt to Equity (D/E)          | 0.03   | Financial leverage ratio           |
| Interest Coverage Ratio (ICR) | 47.27  | Debt service capacity cushion      |
| Asset Turnover                | 1.44   | Asset utilization intensity        |

## 2. Time-Series Income Statement (P&L; Trend)

| Year    | Revenue / Sales (Cr) | Net Profit (Cr) | EPS (■) |
|---------|----------------------|-----------------|---------|
| 2024-03 | ■37,789.0            | ■3,742.0        | ■187.00 |
| 2023-03 | ■34,158.0            | ■2,800.0        | ■141.00 |
| 2022-03 | ■29,551.0            | ■2,329.0        | ■116.00 |
| 2021-03 | ■30,959.0            | ■2,936.0        | ■146.00 |
| 2020-03 | ■29,254.0            | ■3,659.0        | ■182.00 |
| 2019-03 | ■33,971.0            | ■3,466.0        | ■172.00 |

### 3. Balance Sheet & Asset Structure

| Year    | Fixed Assets (Cr) | Current Assets (Cr) | Borrowings (Cr) |
|---------|-------------------|---------------------|-----------------|
| 2024-09 | ■6,588.0          | ■7,548.0            | ■588.0          |
| 2024-03 | ■6,232.0          | ■6,685.0            | ■606.0          |
| 2023-03 | ■6,159.0          | ■6,413.0            | ■568.0          |
| 2022-03 | ■6,194.0          | ■5,240.0            | ■605.0          |
| 2021-03 | ■6,380.0          | ■5,639.0            | ■584.0          |
| 2020-03 | ■6,473.0          | ■4,451.0            | ■453.0          |

### 4. Cash Flow & Capital Allocation Pattern

| Year    | CFO (Ops) | CFI (Invest) | CFF (Finance) |
|---------|-----------|--------------|---------------|
| 2024-03 | ■4,923.0  | ■-1,828.0    | ■-2,717.0     |
| 2023-03 | ■2,614.0  | ■-421.0      | ■-2,147.0     |
| 2022-03 | ■2,104.0  | ■-222.0      | ■-1,975.0     |
| 2021-03 | ■4,110.0  | ■-2,289.0    | ■-1,852.0     |
| 2020-03 | ■5,518.0  | ■-2,819.0    | ■-2,602.0     |
| 2019-03 | ■1,032.0  | ■1,298.0     | ■-2,252.0     |

### 5. Qualitative Analysis (Strengths & Risks)

| ■ Strengths (Pros)                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | ■ Risk Factors (Cons)                                                                                                                                                                                                                                                |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>• Excellent return on equity (ROE) of 21.1% indicates high capital efficiency.</li><li>• Conservative leverage with a healthy Debt-to-Equity of 0.03.</li><li>• Strong cash generation with a latest Free Cash Flow of ■3,095.0 Cr.</li><li>• High-quality earnings backed by a strong cash-flow-to-profit conversion (CFO/PAT ratio of 1.32).</li><li>• Excellent debt servicing capacity with an Interest Coverage Ratio of 47.3x.</li></ul> | <ul style="list-style-type: none"><li>• Stagnant revenue growth with a 5-year Sales CAGR of only 2.2%.</li><li>• Sluggish earnings performance with a 5-year PAT CAGR of 1.5%.</li><li>• Premium asset pricing with a high Price-to-Book multiple of 12.6.</li></ul> |